

Cumulus Bank

Commercial banking from Cumulus Bank



COMMERCIAL LENDING

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PRODUCT BROCHURE · COMMERCIAL LENDING

Business Lines of Credit

Revolving working-capital facilities for seasonal, receivables-driven, and inventory-driven businesses — priced on Prime, structured to the cash-conversion cycle, and renewed on an annual review.

PRODUCT TYPE	Revolving line of credit (committed)
LIMITS	\$25,000 – \$10,000,000
RATE	Prime + 0.50% to + 4.50% (currently 8.50% – 12.50%)
MATURITY / RENEWAL	364-day revolving, renewable at annual review
MINIMUM PAYMENT	Monthly interest on outstanding balance
COVENANT STRUCTURE	Covenant-lite under \$1M; standard covenants above
COLLATERAL	Blanket UCC-1 typical; AR/inventory monitored above \$2M
UNUSED LINE FEE	0.25% – 0.50% on undrawn commitment

AT A GLANCE

Overview

A Cumulus Business Line of Credit is a committed revolving facility designed to bridge the timing gap between working-capital outflows and receivable collections. Borrowers draw, repay, and redraw at their discretion up to the commitment limit, paying interest only on outstanding balances. Lines of credit are appropriate for financing seasonal inventory builds, accounts receivable, and short-duration working-capital needs; they are not appropriate for financing long-lived assets, equity buyouts, or capital expenditure — term loans are better suited to those uses.

WHY A REVOLVER

Key benefits

WORKING-CAPITAL FLEXIBILITY Working-capital flexibility Draw, repay, and redraw up to the commitment limit. Pay interest only on outstanding balances — no carrying cost on undrawn availability.	PRIME-INDEXED TRANSPARENCY Prime-indexed transparency Rate moves with the Wall Street Journal Prime Rate; no complex rate adjustments or benchmark transitions.
SCALABLE COMMITMENT Scalable commitment From \$25,000 for small-business borrowers to \$10,000,000 for middle-market clients with receivables-driven working capital.	COVENANT-LITE UNDER \$1 MILLION Covenant-lite under \$1 million Streamlined compliance for smaller facilities: annual financials and tax returns only, with no quarterly compliance certificate.
INTEGRATED WITH TREASURY Integrated with treasury Draws and repayments execute directly from a Cumulus operating account; automatic sweep repayments optional.	ANNUAL REVIEW RENEWAL Annual review renewal Renewal at annual review — no refinancing, no re-documentation where covenants and financial profile remain within tolerances.

PRICING

Rate and structure matrix

Lines of credit are priced at a spread over Prime based on risk grade, commitment size, collateral package, and depository relationship. All rates shown assume the current WSJ Prime Rate of 8.00%.

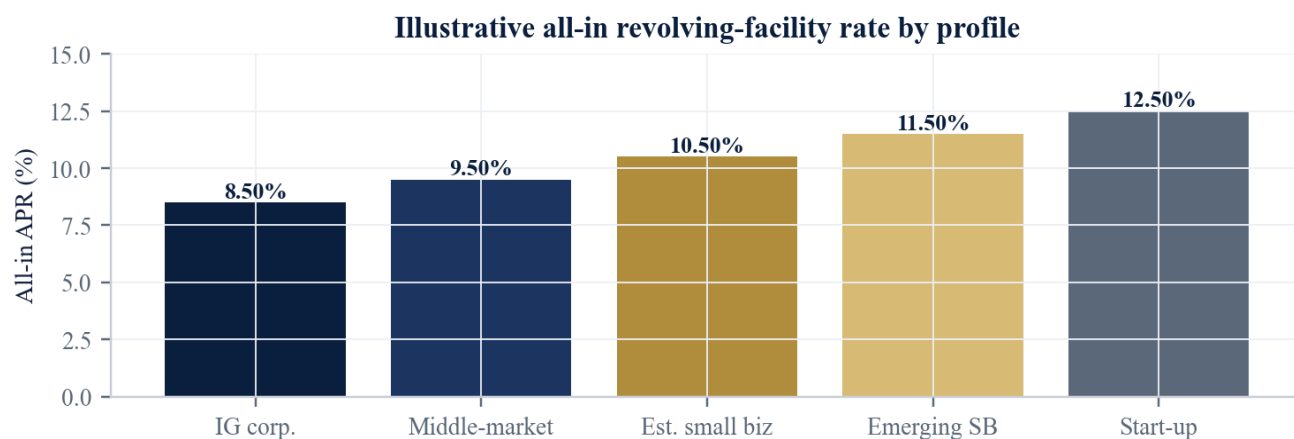
FACILITY PROFILE	RATE SPREAD	ALL-IN RATE	UNUSED LINE FEE	COMMITMENT RANGE
Investment-grade corporate · full treasury	Prime + 0.50%	8.50%	0.25%	\$5M – \$10M
Middle-market · operating deposits	Prime + 1.50%	9.50%	0.25%	\$1M – \$10M
Established small business	Prime + 2.50%	10.50%	0.375%	\$250K – \$2M
Emerging small business	Prime + 3.50%	11.50%	0.50%	\$50K – \$500K
Start-up / specialty	Prime + 4.50%	12.50%	0.50%	\$25K – \$250K

FEE	AMOUNT	NOTES
Upfront commitment fee	0.25% – 0.75% of commitment	Paid at closing; waivable for existing relationships.
Unused line fee	0.25% – 0.50% per annum	Assessed monthly on the average undrawn commitment.
Annual renewal fee	\$250 – \$2,500	Waived at renewal for facilities in compliance.
Documentation fee	\$500 – \$2,000	Legal, lien search, UCC filing costs.
Collateral monitoring fee	0.25% per annum (facilities > \$2M)	Offset against AR aging, inventory reporting.
Late-payment charge	5.00% of past-due interest	Assessed after 10-day cure.

COMMITMENT ECONOMICS

Structure comparison across the size curve

The chart below compares illustrative all-in rates across five common facility profiles, assuming the WSJ Prime Rate of 8.00%. Rate differentiation reflects risk grade, collateral monitoring, and depository relationship strength.





CREDIT AND LEGAL

Underwriting and documentation

Underwriting parameters

- Minimum fixed-charge coverage ratio (FCCR) of **1.20x**, or DSCR of **1.25x**, trailing-twelve-month.
- Funded-debt-to-EBITDA leverage $\leq$ **3.50x**; working-capital ratio $\geq$ 1.25x.
- Two years of operating history and positive EBITDA in the trailing year.
- Personal guaranty of each 20%+ owner (waivable for investment-grade corporates).
- Primary operating depository at Cumulus during the facility term.
- Clean-up period required for seasonal / working-capital lines — 30 consecutive days at zero balance each year (facilities \$1M and below).

Documentation required

- Three years of business tax returns and financial statements (CPA-reviewed for facilities above \$1M; audited above \$5M).
- Three years of personal tax returns and personal financial statement for each guarantor.
- Current AR aging and inventory report.
- Year-to-date interim financials and cash flow forecast.
- Corporate formation documents, operating agreement, and authorizing resolution.
- UCC-1 filing, lien searches in states of operation and collateral location, and intercreditor agreement if subordinate lenders are present.

MECHANICS

How the revolver operates

ACTIVITY	HOW IT WORKS	CUT-OFF TIMES (ET)
Draw request	Submit via Cumulus Business Online; funds deposit to linked operating account by SWIFT or internal book transfer.	Same-day: 3:00 p.m.
Repayment	Manual repayment via Business Online, scheduled recurring repayment, or optional nightly sweep from operating account.	Continuous
Interest accrual	Daily accrual on outstanding balance at Prime + applicable spread, 365-day basis; interest billed monthly.	Monthly
Unused line fee	Accrued daily on average undrawn commitment; billed monthly on the same statement cycle.	Monthly
Annual review	Cumulus reviews financial compliance, facility utilization, and renewal terms 60 days before the anniversary.	60 days before anniversary
Maturity renewal	Facility renews for another 364 days upon successful annual review; no re-documentation required.	Annual

COVENANT-LITE UNDER \$1,000,000

Facilities with commitments at or below \$1,000,000 qualify for Cumulus covenant-lite structure: annual financial statements and tax returns only, with no quarterly compliance certificate and no borrowing-base reporting. Standard covenants apply for facilities above \$1 million.

ONGOING OBLIGATIONS

Covenants and reporting

COVENANT / REQUIREMENT	STANDARD STRUCTURE	COVENANT-LITE ($\leq$ \$1M)
Fixed-charge coverage ratio (FCCR)	$\geq 1.20\times$ quarterly	Not tested
Leverage ratio	Funded debt / EBITDA $\leq 3.50\times$	Not tested
Minimum tangible net worth	Calibrated to starting TNW	Not tested
Annual financial statements	CPA-reviewed within 120 days	Company-prepared within 120 days
Quarterly financials	Management-prepared within 45 days	Not required
Quarterly compliance certificate	Required	Not required
AR / inventory reporting	Monthly AR aging; monthly inventory (facilities > \$2M)	Not required
Clean-up requirement	Not applicable above \$1M	30 consecutive days at \$0 balance annually

COMMON QUESTIONS

Frequently asked questions

When should I use a line of credit vs. a term loan?

Use a line of credit for short-duration, revolving needs: seasonal working capital, accounts receivable bridging, or inventory builds that self-liquidate in 90 days or less. Use a term loan for long-lived assets or strategic initiatives that cannot be repaid from near-term cash flow.

What does 'covenant-lite' mean?

Covenant-lite means the facility has a streamlined covenant package: no financial maintenance covenants, reduced reporting, and no quarterly compliance certificate. This structure is available on revolving facilities \$1,000,000 and below with qualifying borrowers.

What is the clean-up requirement?

For facilities \$1M and below structured as seasonal working-capital lines, Cumulus requires the outstanding balance to reach zero for 30 consecutive days each 12-month period. This demonstrates the facility is not financing permanent working capital (which would better be structured as a term loan).



Can I convert my outstanding balance to a term loan?

Yes. Cumulus offers a Term-Out feature that allows outstanding balances to be converted to a fixed-rate term loan at the revolver's prevailing rate, subject to credit review and execution of term-loan documentation. Term-out is commonly used to lock in a rate when a temporary need becomes permanent.

Is the unused line fee negotiable?

Yes. The unused line fee is set as part of the overall facility pricing at term-sheet stage and reflects utilization assumptions, relationship depth, and collateral coverage. Higher-utilization commitments typically attract lower unused fees.

How is the rate set at each Prime move?

The rate resets automatically on the business day following a change in the WSJ Prime Rate. The new rate applies to the entire outstanding balance from that day forward; no interest recalculation is performed on earlier accrual periods.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

- § Annual Percentage Rate (APR) shown is representative and based on illustrative borrower credit profiles; the rate offered to an individual applicant may differ materially. All extensions of credit are subject to application, underwriting, and verification of income, employment, assets, and collateral.
- § Disclosures are provided pursuant to the Truth in Lending Act (Regulation Z, 12 C.F.R. Part 1026), the Equal Credit Opportunity Act (Regulation B, 12 C.F.R. Part 1002), and the Real Estate Settlement Procedures Act (Regulation X, 12 C.F.R. Part 1024) where applicable.
- § For real-estate-secured credit, flood-zone determination, title insurance, property appraisal, and hazard insurance are required. Flood insurance is required where the property is located in a Special Flood Hazard Area identified by FEMA.
- § Cumulus Bank, N.A. is an Equal Housing Lender. Residential mortgage products are offered through Cumulus Home Lending, a division of Cumulus Bank, N.A.
- § NMLS Consumer Access: www.nmlsconsumeraccess.org · NMLS ID 2026045.
- § Prime Rate is the Wall Street Journal Prime Rate as published on the last business day of each month; the illustrative rate used in this brochure is 8.00%. Actual rates reset on each published change.
- § Lines of credit are committed through the stated maturity date but are not open-ended. Termination, default, or material adverse change may result in a freeze of further advances and acceleration of the outstanding balance.
- § Commercial lines of credit are not consumer credit and are not subject to the Truth in Lending Act or Regulation Z.

ENGAGE A SPECIALIST

Connect with a Cumulus commercial banker

A Commercial Relationship Manager will assess your business's banking, credit, and treasury needs, coordinate supporting specialists, and return a term sheet or proposal on an expedited timeline. Existing Cumulus clients should contact their dedicated Relationship Manager directly.

COMMERCIAL DESK

954.417.2880

Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET

CLIENT PORTAL

cumulusbank-demo-bb054209d76d.herokuapp.com

Apply online, review rates, or schedule an appointment.



TREASURY SERVICES

Commercial banking centers are staffed by appointment. Request a consultation at cumulusbank-demo-bb054209d76d.herokuapp.com/commercial.

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